LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Are Overdraft Structures ?

Developed by www.loanbazaaronline.com

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Module 1: Theoretical Foundations and Product Philosophy of Overdraft (OD) Structures

1.1 Understanding the Core Concept

An Overdraft (OD) facility represents one of the most fundamental and versatile credit structures within the Indian commercial banking landscape. At its core, an overdraft is a revolving fund-based credit facility that permits a borrower—whether an individual, a partnership firm, or a corporate entity—to withdraw funds from their linked current account up to a pre-approved ceiling or limit, even if the account balance falls below zero [78].

Unlike a traditional term loan, where the entire principal is disbursed upfront and interest is charged on the entire disbursed amount [137], an overdraft operates on a dynamic, draw-as-you-need model [78]. The borrower is charged interest strictly on the actual amount overdrawn and only for the exact duration that the account remains in a negative balance [78]. This makes the overdraft structure an exceptionally cost-effective tool for bridging temporary cash flow mismatches, managing seasonal working capital spikes, and securing immediate transactional liquidity.

1.2 The Tripartite Commercial Relationship

The operational ecosystem of an overdraft facility revolves around a tripartite nexus of commercial stakeholders: 1. **The Borrower (Accountholder):** The corporate enterprise, MSME, or individual promoter who secures the overdraft limit to satisfy short-term cash requirements. 2. **The Lender (Bank/NBFC):** The financial institution that performs the credit appraisal, assigns the overdraft ceiling, monitors account behavior, and charges interest on the utilized balance. 3. **The Collateral/Flow Provider (Third Parties):** For secured overdrafts, this includes issuers of fixed deposits, property owners, or commercial buyers whose payments flow directly into the overdraft current account to liquidate outstanding balances.

1.3 Shifting Credit Paradigms: Asset-Heavy vs. Flow-Based Underwriting

Historically, the Indian credit appraisal system was deeply rooted in asset-heavy, property-collateralized underwriting [70]. Borrowers could secure bank credit only by pledging high-value physical assets, such as commercial real estate or industrial land, under mortgage [70]. This system heavily disadvantaged "asset-light" service providers, technology firms, and small-scale traders who possessed high-velocity cash flows but lacked physical collateral [70].

With the advent of digital public infrastructure—specifically the **Account Aggregator (AA) framework**, the **GST Common Portal**, and real-time bank statement analysis (BSA) platforms—the commercial lending landscape has undergone a profound shift toward **Flow-Based Underwriting** [70]. Instead of auditing fixed property values, modern underwriters evaluate the frequency, volume, and consistency of cash flows traversing the borrower's primary current account [70].

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Under a flow-based model, an overdraft limit is carved out based on historical transaction volumes, predictable trade cycles, and verified receivables, turning a passive checking account into a dynamic capital enhancement tool.

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Module 2: Structural Comparative Taxonomy (The Credit Matrix)

To fully comprehend the operational utility of Overdraft structures, finance professionals must distinguish them from other closely related commercial credit products. The table below provides a comprehensive comparison across key credit parameters:

Credit Dimension	Overdraft (OD) Facility	Cash Credit (CC) Facility	Working Capital Demand Loan (WCDL)	Traditional Term Loan
Primary Intent & Purpose	General short-term liquidity, temporary cash mismatches [78].	Continuous working capital funding (inventory and debtors) [78].	Large, short-term discrete transaction-specific purchases [129].	Long-term capital expenditure, plant and machinery acquisition [137].
Repayment Structure	Dynamic, flexible repayment; deposits directly reduce outstanding balance [78].	Continuous, revolving cycle backed by monthly stock statements [78].	Bullet or structured installments at the end of the specified tranche [129].	Systematic monthly or quarterly amortizing EMI schedules [137].
Interest Pricing Basis	Charged daily on the actual negative balance; debited monthly [78].	Charged daily on outstanding utilization against stock margins [78].	Fixed rate for the specific tranche duration (typically 30-90 days) [129].	Fixed or floating rate linked to long-term benchmarks (MCLR/EBLR) [137].
Security & Collateral	Secured by liquid assets (FD, mutual funds) or unsecured [78].	Hypothecation of moving stock and book debts; primary charge [137].	Sub-limit carved out of CC; backed by primary and collateral security [129].	First charge on newly acquired fixed capital assets [137].
Balance Sheet	Current Liability;	Current Liability;	Short-term borrowing;	Non-Current Liability;

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Credit Dimension	Overdraft (OD) Facility	Cash Credit (CC) Facility	Working Capital Demand Loan (WCDL)	Traditional Term Loan
Classification	highly liquid credit substitution.	permanent working capital gap funding.	listed under current liabilities [129].	amortized over 3 to 10 years [137].
Indicative Tenure	12 months, subject to annual credit review and renewal [78].	12 months, subject to continuous stock audit and renewal [78].	Ultra-short term: 7 days to 90/180 days per discrete tranche [129].	Medium to long term: 3 years to 7/10 years maturity [137].
CERSAI & ROC Filing	Mandatory within 30 days if secured by physical assets/property.	Mandatory for stock/debt charge creation on ROC and CERSAI.	Mandatory as a sub-charge within the overall CC limit framework.	Mandatory registration of mortgage or hypothecation charge on MCA portal.

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Module 3: The End-to-End Operational Lifecycle of Overdrafts

Managing an overdraft facility requires a meticulous, multi-phase operational process that ensures both capital protection for the lender and capital efficiency for the borrower:

3.1 Phase 1: Limit Appraisal and Sanctioning

The bank conducts a complete credit evaluation of the borrower, analyzing GSTR-3B filings, historical current account transactions, CIBIL reports, and collateral values. Based on this appraisal, the bank issues a formal **Sanction Letter** defining the overdraft limit, interest margin, required collateral, processing fees, and renewal terms [137].

3.2 Phase 2: Account Integration and Setup

Upon the borrower's acceptance of the sanction terms, the bank's operations team links the pre-approved overdraft limit to the borrower's active current account. The account's available balance is modified to reflect the overdraft limit (e.g., if the actual cash balance is ₹0 and the OD limit is ₹50 Lakhs, the available balance is displayed as ₹50,00,000).

3.3 Phase 3: Drawdown and Dynamic Utilization

The borrower can draw down funds at any time using standard current account mechanisms: physical cheques, RTGS/NEFT transfers, business debit cards, or corporate net banking. Funds are typically routed directly to vendor bank accounts to support raw material procurement, payroll processing, or utility payments.

3.4 Phase 4: Collection Flow and Limit Replenishment

As the borrower's customers pay invoices, these funds are directed into the overdraft-enabled current account. Any incoming credit automatic sweeps and liquidates the outstanding negative balance, instantly reducing the utilized balance and replenishing the available overdraft limit.

3.5 Phase 5: Annual Review, Stress Testing, and Renewal

Overdraft limits are typically sanctioned for a period of **12 months** [78]. Prior to the expiry of the facility, the bank performs an annual review, examining the account's utilization patterns, transaction velocity, credit rating updates, and the ongoing valuation of pledged collateral. If compliant, the facility is renewed for another 12-month period, often with a modified limit reflecting the borrower's business growth.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Underwriting a commercial overdraft facility involves a balanced evaluation of qualitative credit histories and rigorous quantitative cash flow metrics:

4.1 Quantitative Appraisal: The Tandon Committee's Second Method of Lending

For larger corporate overdrafts and working capital limits (typically exceeding ₹2 Crores), Indian banks apply the **Tandon Committee's Second Method of Lending** to compute the Maximum Permissible Bank Finance (MPBF) [70]. This method imposes strict financial discipline by requiring the borrower to fund a significant portion of current assets through long-term resources:

$$extWorkingCapitalGap(WCG) = extTotalCurrentAssets(TCA) - extCurrentLiabilities(OtherthanBa$$

$$extMinimumAssuredNetWorkingCapital(NWC) = 0.25imesextTotalCurrentAssets(TCA)$$

$$extMaximumPermissibleBankFinance(MPBF) = extWorkingCapitalGap(WCG) - extMinimumAssu$$

This formula ensures that the borrower maintains a **minimum Current Ratio of 1.33:1** and contributes at least 25% of total current assets from long-term capital or net worth, protecting the lender against excessive leverage.

4.2 Quantitative Appraisal: The Projected Turnover Method (Nayak Committee)

For MSMEs and smaller businesses with credit exposures up to ₹5 Crores, banks utilize the **Projected Turnover Method (PTM)**, formulated by the **Nayak Committee** [7, 70]: * **Total Working Capital Requirement:** Estimated at **25%** of the company's projected annual turnover [7, 70]. * **Bank Financing Share:** The bank provides a minimum of **20%** of the projected turnover as a working capital/overdraft limit [7, 70]. * **Promoter Contribution (Margin):** The promoter contributes **5%** of the projected turnover from internal accruals or net worth [7, 70].

4.3 Qualitative Filters & Scorecard Benchmarks

Underwriters utilize multi-variable credit scorecards to evaluate risk: 1. **Promoter Credit Score:** A personal **CIBIL score > 700** is typically required for promoters and directors to ensure credit discipline. 2. **CIBIL MSME Rank (CMR):** For commercial entities, a credit rank of **CMR 1 to CMR 4** is highly preferred, indicating a low to moderate probability of default [55]. 3. **Interest Coverage Ratio (ICR):** A key metric indicating the borrower's ability to service outstanding interest obligations:

$$extICR = racextEarningsBeforeInterestandTaxes(EBIT)extInterestObligations > 1.25extx(Minim$$

4. **Current Account Utilization Score:** Underwriters analyze the "overdraft swing"—the frequency with which the account balance alternates between negative and positive states. Accounts that remain perpetually at 100% limit utilization without positive inflows are flagged for potential stress.

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Module 5: Legal Security Architecture, Charge Creation, and CERSAI Guidelines

Establishing a robust legal framework is critical to protecting banks against credit losses in overdraft transactions:

5.1 Statutory Foundations of Guarantor and Borrower Liabilities

An overdraft agreement represents a legally binding contract of indemnity and security under the **Indian Contract Act, 1872**: * **Section 126 (Guarantees):** Establishes the tripartite relationship where a guarantor promises to discharge the liability of the borrower in the case of default. * **Section 128 (Co-extensive Liability):** Stipulates that the liability of the surety/guarantor is co-extensive with that of the principal debtor, meaning the lender can pursue the guarantor directly without exhausting remedies against the primary borrower.

5.2 Absolute Assignment of Actionable Claims

Under **Section 130 of the Transfer of Property Act, 1882**, borrowers can assign actionable claims (such as future book debts, trade receivables, or insurance claims) directly to the lender as primary or collateral security. Once assigned, the bank holds the absolute legal right to collect these cash flows directly from third-party buyers into a designated escrow account to liquidate the overdraft utilization.

5.3 Charge Registration with CERSAI and the ROC

Under **Section 23 of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002**, any security interest created over immovable property (like a mortgage for a secured OD) or movable assets must be registered with the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)** [9]. * **Statutory Timeline:** The charge must be registered with CERSAI within **30 days** of its creation. * **Corporate ROC Filings:** If the borrower is a private or public limited company, a parallel charge must be registered with the **Registrar of Companies (ROC) by filing Form CHG-1** on the Ministry of Corporate Affairs (MCA) portal. Failure to register within the statutory timeline renders the security charge invalid against liquidators and subsequent creditors in insolvency proceedings.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Overdraft facilities are uniquely aligned with specific sectors that exhibit high cash velocity and predictable working capital gaps:

6.1 Suitable Business Profiles

- **Retailers and Wholesale Distributors:** Businesses characterized by daily cash sales and weekly inventory procurement cycles.
- **Service Sector Enterprises:** IT consulting firms, engineering design SPVs, and healthcare operators who experience monthly salary and utility outlays but collect receivables on 60- to 90-day cycles.
- **Agri-Commodity Processors:** Businesses that require heavy capital deployment during brief harvest seasons but liquidate inventory gradually over the year [130].

6.2 Market Sizing and Digital Public Portals

According to recent commercial lending data from the **SIDBI MSME Pulse Digital Report**, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment [68].

To serve this massive market, public sector giants like the State Bank of India have launched scaled digital supply chain and dealer finance platforms: * **SBI e-DFS (Electronic Dealer Financing Scheme):** A digital platform designed for distributors, boasting an active loan portfolio exceeding **₹49,261 Crores** [10, 102]. * **SBI e-VFS (Electronic Vendor Financing Scheme):** A digital portal designed for upstream MSME suppliers, managing active assets of **₹28,092 Crores** [10, 102].

These portals leverage digital public infrastructure to automate overdraft appraisals, disbursals, and repayments, streamlining commercial trade credit nationwide.

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Module 7: Commercial Pricing Mechanics, Interest Computations, and Tax Shields

To appreciate the cost-benefit of an overdraft facility, finance professionals must understand its commercial pricing structure and the impact of corporate tax shields:

7.1 Interest Calculation on Daily Reducing Balances

Unlike term loans that charge interest on the entire principal, overdraft interest is calculated on a **daily reducing balance** using the following formula:

$$extDailyInterestCharge = racextDailyUtilizedBalanceimesextNominalAnnualInterestRate365$$

Interest is tracked daily and debited from the current account on a designated monthly billing date (usually the 25th or 30th of each month).

7.2 The Role of Processing Fees and GST

- **Processing Fees:** Banks charge an upfront processing fee (typically 0.25% to 1.00% of the sanctioned limit) to cover credit appraisal, CIBIL checks, and administrative setups [137].
- **GST Treatment:** In accordance with the Central Goods and Services Tax (CGST) Act, 2017:
  - **Processing Fees and Commissions:** Subject to **18% GST** (which can be fully recovered by the borrower as an Input Tax Credit - ITC) [3, 48].
  - **Interest Charges: Completely exempt from GST**, making the cost of borrowing highly competitive.

7.3 The Interest Tax Shield

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for the purpose of business or profession is fully deductible as a business expense. This creates a powerful **Interest Tax Shield** that reduces the effective, after-tax cost of borrowing:

$$extNetAfter - TaxInterestExpense = extGrossInterestPaidimes(1 - extCorporateTaxRate)$$

For an Indian company operating at a standard corporate tax rate of **25.17%** (inclusive of surcharges and cess under Section 115BAA), every rupee paid in interest translates to a direct tax saving of ₹0.2517, significantly lowering the net cost of working capital.

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Module 8: Regulatory Compliance, RBI IRACP Guidelines, and Account Aggregator Integration

Operating an overdraft facility requires strict adherence to banking regulations mandated by the Reserve Bank of India (RBI):

8.1 The "Out of Order" Default Trigger

Unlike standard term loans where default is defined by a missed monthly EMI, overdraft defaults are governed by the **RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines** [31]. An overdraft or cash credit account is classified as **"Out of Order"** if [31]: 1. The outstanding balance remains continuously in excess of the sanctioned limit/drawing power for **90 days** [31]. 2. The outstanding balance is less than the sanctioned limit/drawing power, but there are no credits in the account for **90 consecutive days** [31]. 3. Credits are received in the account, but they are insufficient to cover the interest debited during the same 90-day period [31].

8.2 SMA and NPA Classification Timelines

Once an account is classified as "Out of Order", it begins its progression toward Non-Performing Asset (NPA) status: * **SMA-0 (Special Mention Account 0):** Outstanding balance is continuously overdrawn for **1 to 30 days** past limit. * **SMA-1:** Overdrawn status persists for **31 to 60 days**. * **SMA-2:** Overdrawn status persists for **61 to 90 days**. * **NPA (Non-Performing Asset):** On the **91st day of continuous "Out of Order" status**, the account is downgraded to a Sub-Standard NPA, requiring the bank to block further withdrawals and initiate legal recovery under the SARFAESI Act, 2002.

8.3 The 180-Day Technical Review Default

Overdraft limits require a comprehensive financial review and renewal every 12 months [78]. Under RBI guidelines, if a bank fails to perform a formal renewal review within **180 days from the scheduled due date**, the limit is classified as a **Technical Default/NPA**, even if the account utilization remains within limits and interest is serviced regularly. This makes timely annual reviews a critical operational priority.

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Module 9: Comprehensive Real-World Case Study

9.1 Scenario Setup

Mumbai Precision Auto Components Pvt. Ltd. (MPACPL) is an OEM supplier to a major commercial vehicle manufacturer. The company has a seasonal production run and operates at a **corporate tax rate of 25.17%**.

To manage its seasonal working capital spikes, the company is evaluating two funding pathways to secure **₹1,00,00,000 (₹1 Crore)** in cash over a **90-day period**: * **Pathway A (Standard Overdraft Limit):** Backed by a lien-marked Fixed Deposit of ₹1.2 Crores (earning 6.50% p.a.). The bank charges a nominal interest rate of **9.00% p.a.** on utilized balances, with a 0.25% upfront processing fee. * **Pathway B (Unsecured Term Loan / Bridge Financing):** An upfront 90-day corporate term loan at a fixed interest rate of **12.50% p.a.**, with a 1.00% processing fee. Under this pathway, the entire ₹1 Crore is disbursed on Day 1 and held in a non-interest-earning account, even when not fully utilized.

9.2 The 90-Day Utilization Pattern

Because MPACPL's working capital needs fluctuate during the 90-day production cycle, its actual cash utilization is as follows: * **Days 1 to 30 (Raw Material Procurement):** Average utilization of **₹1,00,00,000** (Full Limit). * **Days 31 to 60 (Manufacturing & Assembly):** Average utilization drops to **₹50,00,000** as inventory is processed and partial payments are received. * **Days 61 to 90 (Dispatch & Realization):** Average utilization drops to **₹10,00,000** as buyers settle invoices.

9.3 Detailed Cost-Benefit Computations

Pathway A: Secured Overdraft Facility

1. **Upfront Processing Fee:**

$$extFee = ₹1,00,00,000 imes 0.25\% = ₹25,000$$

$$extGSTonFee(18\%) = ₹25,000 imes 18\% = ₹4,500 ext(RecoverableviaITC)$$

2. **Gross Interest Expense Calculation:**
   - **Interest for Days 1 to 30 (30 Days):**

$$extInterest_1 = rac₹1,00,00,000 imes 9.00\% imes 30365 = ₹73,972.60$$

   - **Interest for Days 31 to 60 (30 Days):**

$$extInterest_2 = rac₹50,00,000 imes 9.00\% imes 30365 = ₹36,986.30$$

   - **Interest for Days 61 to 90 (30 Days):**

$$extInterest_3 = rac₹10,00,000 imes 9.00\% imes 30365 = ₹7,397.26$$

   - **Total Gross Interest Paid:**

$$extTotalGrossInterest = ₹73,972.60 + ₹36,986.30 + ₹7,397.26 = ₹1,18,356.16$$

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3. **Fixed Deposit Interest Earned (6.50% on ₹1.2 Crores for 90 Days):**
$extFDInterestEarned = rac₹1,20,00,000imes6.50\%imes90365 = ₹1,92,328.77$

4. **Total Net Pre-Tax Cost (Interest Expense + Processing Fee - FD Interest):**
$extNetPre - TaxCost = ₹1,18,356.16 + ₹25,000.00 - ₹1,92,328.77 =- ₹48,972.61ext(NetProf$

5. **Corporate Income Tax Shield Benefit (25.17% on Interest & Fees):**
$extTaxShield = (₹1,18,356.16 + ₹25,000.00)imes25.17\% =+ ₹36,081.93$

6. **Net Opportunity-Adjusted After-Tax Financing Cost:**
$extNetCost = ₹1,18,356.16 + ₹25,000.00 - ₹36,081.93 =+ ₹1,07,274.23ext(ExcludingFDIntere$

Pathway B: Unsecured Term Loan

1. **Upfront Processing Fee:**
$$extFee = ₹1,00,00,000imes1.00\% = ₹1,00,000$$

2. **Gross Interest Expense Calculation (Charged on Full Principal for 90 Days):**
$extGrossInterest = rac₹1,00,00,000imes12.50\%imes90365 = ₹3,08,219.18$

3. **Total Corporate Income Tax Shield Benefit (25.17% on Interest & Fees):**
$extTaxShield = (₹3,08,219.18 + ₹1,00,00,000imes1.00\%)imes25.17\% =+ ₹1,02,748.77$

4. **Net After-Tax Financing Cost:**
$$extNetCost = ₹4,08,219.18 - ₹1,02,748.77 =+ ₹3,05,470.41$$

9.4 Comparative Cost Matrix

The table below summarizes the financial comparison between the two pathways:

Financial Metric	Pathway A: Secured Overdraft	Pathway B: Unsecured Term Loan	Net Strategic Advantage
Sanctioned Credit Limit	₹1,00,00,000 (₹1 Crore)	₹1,00,00,000 (₹1 Crore)	Equivalent capital access.
Upfront Bank Processing Fee	₹25,00,000 (0.25% limit)	₹1,00,000 (1.00% principal)	**₹75,000 Savings** under Overdraft.
Gross 90-Day Interest Paid	₹1,18,356.16 (on actual use)	₹3,08,219.18 (on full principal)	**₹1,89,863.02 Savings** under Overdraft.
Fixed Deposit Earnings Offset	-₹1,92,328.77 (Pre-Tax)	₹0.00 (No liquid FD asset pledged)	**₹1,92,328.77 Inflow** under Overdraft.
Total Pre-Tax Outlay	**-₹48,972.61** (Direct Inflow)	**₹4,08,219.18** (Direct Outlay)	**₹4,57,191.79 Net Savings**.

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Financial Metric	Pathway A: Secured Overdraft	Pathway B: Unsecured Term Loan	Net Strategic Advantage
Corporate Tax Shield (25.17%)	+₹36,081.93	+₹1,02,748.77	Higher tax shield on higher interest outlays.
Net Post-Tax Opportunity Cost	**₹1,07,274.23** (Excl. FD earnings)	**₹3,05,470.41** (Fully expensed)	**₹1,98,196.18 Direct Savings** in net financing costs.

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Module 10: 10-Question Professional Certification Examination

This examination is designed to test your mastery of commercial overdraft mechanics, regulatory guidelines, underwriting metrics, and relevant statutory provisions under Indian law. Choose the single most accurate answer for each question.

Question 1

Under **Section 128 of the Indian Contract Act, 1872**, what is the nature of a guarantor's liability in a commercial overdraft facility? A) The guarantor is liable only after the bank has successfully liquidated all physical assets of the primary borrower.
B) The liability is co-extensive with the principal debtor, enabling the bank to pursue recovery from the guarantor directly upon primary borrower default.
C) The guarantor's liability is capped at 50% of the primary borrower's outstanding debt.
D) The liability arises only if the overdraft agreement is registered under the Factoring Regulation Act.

Question 2

An manufacturing corporate has an active overdraft limit of **₹2 Crores**. The account has been continuously utilized at **₹2.05 Crores** (overdrawn) for **92 consecutive days** due to a delay in trade receivables. According to the **RBI's IRACP guidelines**, what is the asset classification of this account? A) SMA-1
B) SMA-2
C) Sub-Standard Non-Performing Asset (NPA)
D) Technical Default

Question 3

Under the **Tandon Committee's Second Method of Lending**, if a corporate borrower has **Total Current Assets (TCA)** of **₹4 Crores** and **Other Current Liabilities (OCL)** of **₹1.5 Crores**, what is the **Maximum Permissible Bank Finance (MPBF)**? A) ₹2.5 Crores
B) ₹1.5 Crores
C) ₹1.0 Crore
D) ₹2.0 Crores

Question 4

An MSME enterprise with a projected annual turnover of **₹3 Crores** applies for an overdraft facility under the **Nayak Committee's Projected Turnover Method (PTM)**. What is the standard minimum overdraft limit that the bank should sanction? A) ₹75 Lakhs (25% of turnover)
B) ₹60 Lakhs (20% of turnover)
C) ₹15 Lakhs (5% of turnover)
D) ₹50 Lakhs (fixed flat limit)

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Question 5

Under the **CGST Act, 2017**, which of the following statements is **correct** regarding the taxation of overdraft facilities in India? A) Both interest charges and processing fees are subject to 18% GST.
B) Interest charges are subject to 18% GST, while processing fees are completely exempt.
C) Interest charges are completely exempt from GST, while processing fees are subject to 18% GST (recoverable as ITC).
D) Both interest charges and processing fees are completely exempt from GST.

Question 6

A commercial bank sanctions a secured overdraft facility of **₹50 Lakhs** backed by a mortgage of industrial land. To preserve its legal claim in insolvency proceedings, the bank must register the security charge with **CERSAI** within which statutory timeline? A) Within 10 days of charge creation on the ROC portal.
B) Within 30 days of security charge creation.
C) Prior to the first drawdown tranche.
D) Within 180 days from the annual review date.

Question 7

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, what is the tax treatment of interest paid on a commercial overdraft utilized for purchasing raw inventory? A) The interest is non-deductible and must be capitalized as part of the asset value.
B) The interest is fully deductible as a business expense, creating an Interest Tax Shield that reduces the effective cost of capital.
C) Only interest paid up to a maximum of ₹2 Lakhs p.a. is deductible.
D) The interest is deductible only if the overdraft limit is backed by a liquid Fixed Deposit.

Question 8

If an overdraft facility has been sanctioned for 12 months, and the bank has not conducted a formal renewal review within **180 days** from the scheduled review date, what is the regulatory status of the account under **RBI Master Circulars**? A) The limit is automatically extended for another 12-month cycle.
B) The account must be classified as a Technical Default/NPA, even if interest is serviced regularly.
C) The bank can charge a penalty of 200 bps but the account remains Standard.
D) The borrower must close the account and transition to a WCDL.

Question 9

Calculate the **Interest Coverage Ratio (ICR)** for a company with an **Earnings Before Interest and Taxes (EBIT)** of **₹45 Lakhs**, an annual overdraft interest expense of **₹30 Lakhs**, and a corporate tax rate of **25.17%**. A) 1.50x
B) 1.12x

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C) 2.00x
D) 1.25x

Question 10

Which of the following is the **primary** operational difference between a **Cash Credit (CC) Facility** and an **Overdraft (OD) Facility**? A) Cash Credit is always unsecured, whereas Overdraft is always secured by immovable property.
B) Cash Credit is primarily backed by the hypothecation of moving stock and book debts, requiring monthly stock statements, whereas Overdraft is typically backed by liquid assets or financial instruments.
C) Cash Credit interest is charged on the entire sanctioned limit, whereas Overdraft interest is charged only on the utilized balance.
D) Cash Credit limits are reviewed every 12 months, whereas Overdraft limits never expire.

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Answer Key and Professional Explanations

Question 1: Correct Answer: B

Explanation: Under **Section 128 of the Indian Contract Act, 1872**, the liability of a surety/guarantor is co-extensive with that of the principal debtor. This establishes that the bank has the absolute legal right to demand payment from the guarantor immediately upon default by the primary borrower, without being legally required to exhaust its collection remedies or liquidate collateral first.

Question 2: Correct Answer: C

Explanation: Under the **RBI's IRACP Guidelines**, if an overdraft account remains continuously overdrawn in excess of the sanctioned limit or drawing power for **more than 90 consecutive days**, the account is classified as "Out of Order" and must be downgraded to a **Sub-Standard Non-Performing Asset (NPA)** on the 91st day.

Question 3: Correct Answer: B

Explanation: Under the **Tandon Committee's Second Method of Lending**: 1. Working Capital Gap (WCG) = Current Assets (₹4 Crores) - Current Liabilities (₹1.5 Crores) = ₹2.5 Crores. 2. Net Working Capital (NWC) Margin = 25% of Current Assets = 25% of ₹4 Crores = ₹1.0 Crore. 3. Maximum Permissible Bank Finance (MPBF) = WCG (₹2.5 Crores) - NWC Margin (₹1.0 Crore) = **₹1.5 Crores**.

Question 4: Correct Answer: B

Explanation: Under the **Nayak Committee's Projected Turnover Method (PTM)**, for limits up to ₹5 Crores, banks must finance a minimum of **20% of the projected annual turnover** as working capital. For a projected turnover of ₹3 Crores, the sanctioned overdraft limit should be ₹3,00,00,000 x 20% = **₹60 Lakhs**.

Question 5: Correct Answer: C

Explanation: Under the **CGST Act, 2017**, interest charges on advances and loans (including overdraft utilization) are completely exempt from GST. However, administrative processing fees and bank commissions are subject to **18% GST**, which the borrowing company can recover as an Input Tax Credit (ITC) if it possesses a valid GSTIN.

Question 6: Correct Answer: B

Explanation: Under **Section 23 of the SARFAESI Act, 2002**, any mortgage or security interest created over immovable or movable assets must be registered with **CERSAI within a mandatory statutory timeline of 30 days** from the date of the security charge creation to preserve its legal validity against subsequent creditors.

Question 7: Correct Answer: B

Explanation: Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed specifically for business operations or raw inventory procurement is fully

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deductible as a business expense, creating an **Interest Tax Shield** that reduces the company's net taxable income and effectively lowers the after-tax cost of borrowing.

Question 8: Correct Answer: B

Explanation: Under **RBI Guidelines on Credit Management**, overdraft and cash credit accounts must undergo a comprehensive credit review and renewal every 12 months. If the bank fails to renew or technically review the limit within **180 days from its scheduled due date**, the account is classified as a **Technical Default/NPA**.

Question 9: Correct Answer: A

Explanation: The **Interest Coverage Ratio (ICR)** is computed as:

$$extICR = racextEBITextInterestExpense = rac₹45,00,000₹30,00,000 = 1.50extx$$

Since 1.50x is greater than the standard underwriting benchmark of 1.25x, the company has comfortable interest-servicing capacity. Note that the corporate tax rate is irrelevant to the ICR calculation since EBIT is computed before taxes.

Question 10: Correct Answer: B

Explanation: While both are revolving fund-based limits, a **Cash Credit (CC) Facility** is primarily secured by the hypothecation of current assets (moving stock and book debts) and requires the submission of monthly stock statements to compute drawing power. An **Overdraft (OD) Facility**, on the other hand, is typically backed by financial assets (FDs, mutual funds) or physical property, providing greater administrative simplicity.

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